# ‘NO ONE IS EXEMPT. YOU CAN’T GAME THE SYSTEM AS IT’S RULE-BASED’



CHANDRADEEP KUMAR

As India’s economy expands, providing uninterrupted power is paramount. Besides enhancing capacity and augmenting infrastructure, it’s essential to minimise losses and make discoms fiscally responsible. Union minister of power and new & renewable energy **R.K. SINGH** discusses the government’s roadmap for a robust power sector with Deputy Editor **ANILESH S. MAHAJAN.** Excerpts:

**Q. You have been pushing hard to make distribution companies efficient. How are those reforms taking shape?**

The viability of the power sector was shaky when I joined. The outstanding dues of generation companies (gencos) were in the region of Rs 135,000 crore. The AT&C losses of the distribution companies (discoms) were around 27 per cent. Today, the AT&C losses are down to about 15.5 per cent. The outstanding dues have been pared down to Rs 60,000 crore. The current payments are all up to date; so our discoms have become very viable. If a discom does not pay for the power it has drawn, within the stipulated time, the new norms enable power exchanges to disconnect their connectivity to electricity markets.

**Q. A few states are promising cheaper or free power to some segments. Traditionally, this has impacted discoms’ cash flow.**

If a state announces 100 units or 200 units free, by all means, we don’t have any objections to it. But they will have to make payments for it. The subsidy has to be paid to the discoms upfront.

**Q. You are putting a carrot-and-stick approach in place to discipline the discoms.**

We have enough incentives for the discoms to clean up their mess. We are in regular conversation with the regulators; we are asking them to just stick to the stated laws and regulations. If the discoms are making losses, they will have to prepare a roadmap to cut losses. Their respective state governments would have to back it in writing. Then only can they avail of debts,